OPTIONS & FUTURES

# Options & Futures Basics

Calls, puts, strike prices, expiration, Greeks, and futures contracts explained simply.

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Options and futures are powerful instruments that let you trade with leverage and hedge positions. Understanding the basics before using them is not optional — these instruments can lose value fast in ways that shares do not.

CONCEPT 1

## What a Call Option Is

A call gives you the right to buy 100 shares at the strike price before expiration. You pay a premium for this right. Stock goes up = call gains value. Stock goes nowhere or falls = call loses value and eventually expires worthless.

CONCEPT 2

## What a Put Option Is

A put gives you the right to sell 100 shares at the strike price before expiration. Puts gain value when the stock falls. Used to profit from declining stocks or to hedge long positions.

CONCEPT 3

## Strike Price and Expiration

Strike = the price at which you can buy (call) or sell (put) shares. Expiration = when the option ceases to exist. Less time to expiration = cheaper but riskier. More time = costs more but gives the stock time to move.

CONCEPT 4

## ITM vs OTM

A call is in-the-money (ITM) when the stock is above the strike. Out-of-the-money (OTM) when below. OTM options are cheaper but require a larger move to be profitable.

CONCEPT 5

## Futures — ES and NQ

Futures contracts are agreements to buy or sell an asset at a set price on a future date. ES = S&P 500 futures. NQ = Nasdaq 100 futures. Each ES point = $50 per contract. Traders watch these pre-market for directional bias.

### CALLS VS PUTS QUICK REFERENCE

| | CALL OPTION | PUT OPTION |
|---|---|---|
| You profit when... | Stock price rises above strike | Stock price falls below strike |
| You lose when... | Stock falls or stays flat | Stock rises or stays flat |
| Maximum loss | Premium paid | Premium paid |
| Maximum gain | Unlimited (stock can go up forever) | Strike price minus premium (stock can go to zero) |
| Breakeven | Strike + premium paid | Strike − premium paid |
| Use case | Bullish directional trade or hedge | Bearish directional trade or hedge |

### OPTIONS VS STOCKS VS FUTURES

| FEATURE | STOCKS | OPTIONS | FUTURES |
|---|---|---|---|
| Leverage | None (or 2x margin) | High (controls 100 shares) | Very high |
| Maximum loss | Full investment | Premium paid only | Can exceed investment |
| Expiration | No expiration | Fixed expiration date | Fixed expiration date |
| Time decay | None | Yes — theta erodes value daily | Minimal |
| Best for | Long-term holding | Directional bets with defined risk | Index and commodity speculation |

TST RULE

Never buy options into earnings without understanding IV crush. When a stock reports and implied volatility collapses, your call can lose value even if the stock moves in your direction. This is one of the most common and costly options mistakes.

*Full options curriculum with real trade examples in the TST Academy Options section at topstocktrading.com*